

“ A Missing Dimension in Failure Analysis for the Cases of LTCM vs. Sub Prime Loan ”

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Abstract

Here are well known sayings as “History repeats itself.” or “History is philosophy teaching by examples.” However, nobody seems to have learned anything from failure of Long-Term Capital Management (LTCM) in which two Nobel Prize Laureates were involved.

Analyses on vast amounts of detailed data accumulated through high frequency business transaction in financial market and, point-of-sale information on individual items in the retail sector, would produce intriguing results or generate some theoretical results, per se, worthy of winning the prizes. Very unbiased neutral and scientific data do not assume any human interference such as Hungarian-born American financial speculator: George SOROS.

This paper is meant for pointing out the big pit hole in this kind of analyses for Financial markets, as we have seen LTCM case. Mathematically speaking, zero probability of an event does not necessarily mean null event and the probability of a null event, does not necessarily equal to zero, vice versa. On the other hand, Computer Science defines information hierarchy as data, information, intelligence and initiative. As a counter measure to cope with human interference, very important know-how is going to be proposed.